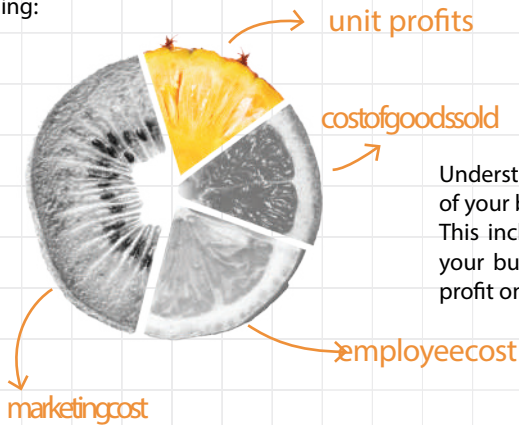


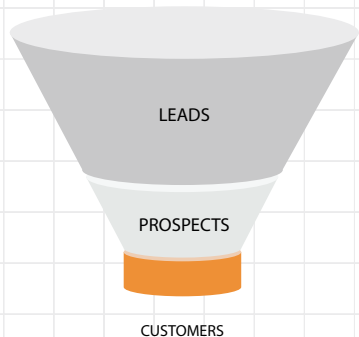
You will create a detailed sheet on excel projection file depending on all of this information. This will contain multiple sheets for the different types of expenses. You have to share it with the investor so they can get clarity about the overall cost and sales of the company that is expected. Once you share it, the investors will thoroughly evaluate each line item and see if it makes sense to them. If not, they may pass the opportunity.

The investors know that these numbers will change during execution, but they mainly focus on the following:



Understanding the unit economic of your business:  
This includes the cost structure of your business and how much you profit on selling each unit.

How you think about the business:  
How you plan to grow your sales.  
Are you asset-light or heavy? Is there economics of scale?



If the investors find the sales targets too aggressive and unachievable, they won't probably tell you. They will simply pass on the investment opportunity. Thus, they will evaluate every line item to determine if the numbers are realistic and they are comfortable with them.

However, note that these financial projections do not include a  
If not have any significant  
ever, if you do, you can also

F include a quarterly balance sheet.

KS